

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think> To solve , first calculate the new value of the house after the repairs . Then , subtract the total cost (purchase price + repair cost) from the new value to find the profit . An increase of 1 5 0 % means the value becomes 2 . 5 times the original purchase price (1 0 0 % original value + 1 5 0 % increase) . So , the new value = 2 . 5 * purchase price . Purchase price is \$ 8 0 , 0 0 0 . New value = 2 . 5 * \$ 8 0 , 0 0 0 = \$ 2 0 0 , 0 0 0 . Total cost = purchase price + repair cost = \$ 8 0 , 0 0 0 + \$ 5 0 , 0 0 0 = \$ 1 3 0 , 0 0 0 . Profit = new value - total cost = \$ 2 0 0 , 0 0 0 - \$ 1 3 0 , 0 0 0 = \$ 7 0 , 0 0 0 . </think><answer>70000</answer>